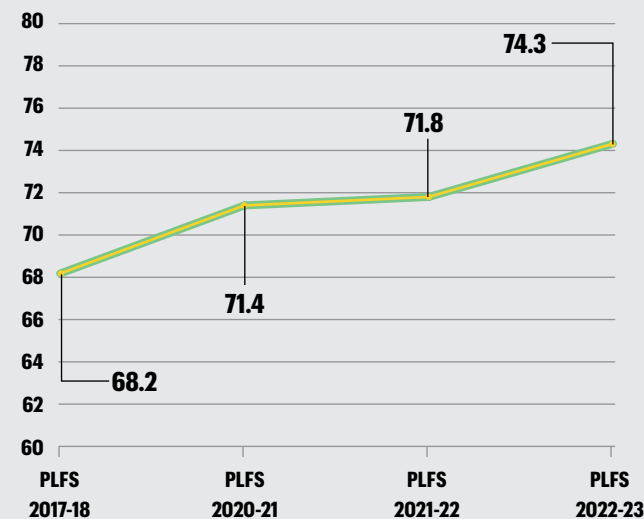


● Meanwhile, manufacturing and salaried jobs still account for a small proportion

Informalisation is on the rise



FIGURES IN % **NOTE** THE PLFS CONSIDERS PROPRIETARY AND PARTNERSHIPS IN THE NON-FARM SECTOR AS INFORMAL ENTERPRISES **SOURCE** PLFS

SO, WHERE WILL the next wave of job opportunities emerge from as an estimated 10-12 million people join the labour force annually? Pai recommends a dual approach to tackling both the top and bottom of the pyramid at the same time. He proposes a strategy to gradually reduce the number of agricultural jobs by 1 percentage point every year. He suggests encouraging labour-intensive but low-paying industries such as garments, textiles, light engineering, electronic assembly, handicrafts, etc, to set up shop in the 300 poorest districts of the country; additionally expanding high-paying sectors such as IT and ITeS, high-tech manufacturing, BFSI, high-quality tourism, universities and educational institutions. “You cannot pay a garment worker ₹25,000-30,000 a month in Bengaluru. That will be unviable for them,” he says.

Although it holds potential for long-term employment generation at scale for low-skilled labourers, offers better pay, and aids their transition to the formal economy, the percentage of manufacturing jobs has remained stagnant at around 10-12% for the last five years. Lohit Bhatia, President of Workforce Management at business service provider Quess Corp, says

their database indicates jobs in manufacturing have grown faster than in any other segment in the last three years. “It is the third-highest job creator after BFSI (banking, financial services, and insurance) and retail segments. We remain extremely bullish on the future of manufacturing jobs in the next five years as well, due to a number of factors such as the setting up of mega manufacturing units in India, large-scale manufacturing of goods, and a large middle-class market.”

But at just 11%, manufacturing is much less labour-intensive than it should be because of automation, says Sabharwal. “India has also scared off labour-intensive manufacturing because of labour laws that treat job preservation as a form of job creation.” Implementing the new labour codes should be a key priority of the new government, he adds.

Despite the government’s proposal of four labour codes—the Wage Code, Occupational Safety, Health and Working Conditions Code, Social Security Code, and Industrial Relations Code—aimed at streamlining 44 central labour laws, their enactment is yet to see the light of day. The codes on wages and social security for domestic workers, gig workers, and platform workers are especially pertinent, as platforms such as Zomato and Uber are helping to formalise the workforce, albeit to a limited extent. Sundar says whether it is platform workers, or construction workers, or those in the retail or wholesale sector, nowhere are the labour laws as rigorously applied as in manufacturing. “In an economy dominated by the informal sector, job creation must take place in the formal economy, where there are labour laws and trade unions. And we must formalise the informal jobs through labour legislation,” he says.

Going back to the point on creating well-paying jobs, Pai emphasises the need for a 15-20% increase in minimum wages in Tier I cities. According to the latest PLFS data, there was a decrease of 2.9% in wages for the salaried, a decrease of 1.8% for the self-employed, and a slight increase of 0.6% for casual labour. “Consumption will also get a push by increasing the minimum wage,” Pai adds.

Raising wages requires moving India to higher productivity states, cities, sectors, firms, and skills, says TeamLease’s Sabharwal. Sundar sees India requiring a two-pronged strategy—a short-term strategy of job creation and a medium-to-long-term strategy of becoming competitive by targeting the skills in the economy.

As India strives to get its workforce, especially the younger lot, into better-quality jobs, the government has its task cut out. **BT**

(With inputs from Surabhi)

@SaysVidya